

Comment on the Notice of Proposed Rulemaking: Permitted Payment Stablecoin Issuer Anti-Money Laundering/Countering the Financing of Terrorism and Sanctions Compliance Risk Management

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Introduction and summary

Tokenization Systems is an independent research program studying the operational control layer of tokenized financial systems: the technical and organizational functions through which a stablecoin issuer or interface operator actually exercises control over issuance, reserve custody, transaction routing, and the execution of lawful orders. Tokenization Systems develops measurement instruments that make those control functions observable to supervisors, including the Minimum Viable Equivalence Pack, a ten-category structural diagnostic for diligence at decision points, and the Control Layer Intensity Index for continuous monitoring.

Tokenization Systems has submitted prior federal comments across seven federal agencies. Those comments include comments to the Office of the Comptroller of the Currency on its rule implementing the GENIUS Act for payment stablecoin issuance by entities subject to the OCC's jurisdiction (RIN 1557-AF41, Docket OCC-2025-0372), with a supplemental comment on interface-layer conduct; to the Department of the Treasury on state-similarity principles (TREAS-DO-2026-0232); to the Financial Crimes Enforcement Network on the general anti-money-laundering rulemaking (FINCEN-2026-0034) and, jointly addressed to the Office of Foreign Assets Control, on the permitted-payment-stablecoin-issuer program rulemaking (FINCEN-2026-0100); to the Federal banking agencies on the joint anti-money-laundering rule (91 Fed. Reg. 18304); to the Federal Deposit Insurance Corporation on the prudential activities rule (RIN 3064-AG19), the application-process rule (RIN 3064-AG20), and the Bank Secrecy Act and sanctions compliance standards rule for FDIC-supervised permitted payment stablecoin issuers (RIN 3064-AG29); to the National Credit Union Administration on its GENIUS Act rulemaking; and to the U.S. Securities and Exchange Commission on its draft strategic plan. This comment is Tokenization Systems' third comment to the OCC. The federal rulemakings together define the operational architecture within which permitted payment stablecoin issuers (PPSIs) will issue payment stablecoins; the recommendations in this comment are designed to

coordinate with the parallel rulemakings rather than to duplicate or contradict them.

This rule occupies a distinct position in that architecture. The OCC proposes to amend its March 2, 2026 proposed rule implementing the GENIUS Act for payment stablecoin issuance (91 Fed. Reg. 10202), which established proposed part 15, by adding proposed Section 15.13(c); to add a supervision and enforcement framework at new subpart R of part 19 (proposed Sections 19.260 through 19.262); and to add an information-sharing provision at new Section 4.19 of part 4. Proposed Section 15.13(c) imposes the substantive obligation by incorporation, requiring each permitted payment stablecoin issuer to comply with the Bank Secrecy Act, sections 4(a)(5) and 4(a)(6)(B) of the GENIUS Act, and applicable regulations at 31 CFR chapters V and X, including any AML/CFT program, sanctions program, and reporting requirements. As the OCC states, the proposed rule “would not contain additional requirements beyond those contained in FinCEN and OFAC’s regulations,” so that “compliance with regulations at 31 CFR chapter V and 31 CFR chapter X, as promulgated by FinCEN and OFAC, would constitute compliance with proposed paragraph Sec. 15.13(c).” The substantive AML/CFT and sanctions program content (what such a program must contain, and what makes it effective) lives in the companion FinCEN and OFAC rule at 91 Fed. Reg. 18582 and in 31 CFR chapters V and X. This rule is therefore principally a supervision-and-coordination instrument: it specifies how the OCC will examine and enforce against permitted payment stablecoin issuers through its own channel, how the OCC will coordinate with the Director of FinCEN before doing so, and how a permitted payment stablecoin issuer may share information with the Director of FinCEN.

The central proposition of this comment is that the coordination architecture the rule proposes (the advance-notice consultation under proposed Section 19.261 and the enforcement-and-supervision policy under proposed Section 19.262) functions as intended only if the OCC and FinCEN read the same measured control posture of the same operator. Two agencies coordinating on a verbal account, or on separately gathered and non-comparable observations, will produce duplicative examination, divergent determinations, and the logistical friction the OCC itself identifies in Question 10. A shared, reproducible measurement of control-layer posture, organized as a single supervisory record per operator, closes that gap. This comment then extends the same measured-object logic to three surfaces distinctive to the OCC’s proposal: the uniform treatment of permitted payment stablecoin issuers across entity types that Questions 1 and 2 raise; the reserve-asset security and holder-monetization protections that Questions 3, 4, and 5 raise; and the alignment with the parallel FDIC rule that Question 6 invites, where ‘Tokenization Systems’ comment record across both dockets lets it identify a threshold divergence that would invite regulatory arbitrage if left unresolved.

A note on scope and evidence precedes the recommendations. Where this comment draws on ‘Tokenization Systems’ empirical work in tokenized governance and concentration, that work studies decentralized-finance and decentralized-physical-infrastructure protocols, not PPSIs. Those findings are offered to illustrate a measurement method and a failure mode, not as evidence about any PPSI. The comment flags this scope qualification at each point of use. The OCC estimates that the proposal would affect approximately 29 permitted

payment stablecoin issuers, comprising roughly 12 OCC-regulated bank affiliates, 12 issuers affiliated with entities not currently OCC-regulated, and 5 white-label or consortium issuers, and it notes that OCC-supervised issuers may include uninsured national trust banks already subject to Bank Secrecy Act and suspicious-activity-reporting requirements. That entity-type variety is why Questions 1 and 2 matter for the OCC in a way that has no exact analog in the sibling FDIC rule, and Tokenization Systems’ recommendations on those questions are framed accordingly.

The eight recommendations are mapped below to the OCC’s questions and to the action requested in the final rule, preamble, or examination guidance:

Recommendation	OCC question or provision	Requested final-rule action	Why it matters
1. Observable effective-program criteria	Question 8; proposed Section 19.262	Clarify that the effective-program disposition rests on observable indicators drawn from the FinCEN program requirements, not attestation alone.	Prevents the disposition from becoming a paper-program safe harbor.
2. Shared control-posture record	Question 10; proposed Section 19.261(b)	Make a reproducible control-posture record a standing component of the OCC-to-FinCEN notice package.	Gives both agencies the same measured object and reduces duplicative examination.
3. Thresholds keyed to posture	Questions 8 and 9; proposed Sections 19.260 and 19.261	Pair any asset threshold or PPSI-requested consultation option with a control-posture trigger, and account for a revocation of approval to issue when AML/CFT deficiencies are part of the basis.	Keeps consultation focused on both systemic consequence and control failure.
4. Operational test of block, freeze, and reject capability	Proposed Section 15.13(c)	Confirm by examination evidence that the capability works across primary and secondary channels, with intensity scaled to measured holder concentration.	Converts the sanctions obligation from a documented design into an observed control.

Recommendation	OCC question or provision	Requested final-rule action	Why it matters
5. Accountable line and uniform standard across entity types	Questions 1 and 2; proposed Section 15.13(c)	Confirm that one identifiable accountable line holds both control-posture information and authority to act, and that the measured standard is uniform across entity types.	Prevents parent-program reliance and entity-type variety from diffusing responsibility or fragmenting the standard.
6. Coverage across holding-location obligor changes	Proposed Sections 15.13(c), 19.261, and 19.262	Confirm that AML and sanctions coverage follows a tokenized instrument when its obligor and legal regime change based on holding location.	Prevents the unexamined leg of a dual-character instrument from becoming the blind spot in the supervision architecture.
7. Alignment with the parallel FDIC rule	Question 6; proposed Sections 15.13(c), 19.261, 19.262, and 4.19	Align the OCC and FDIC supervision, consultation, and disclosure provisions on a common measured object, and reconcile the divergent consultation thresholds.	The two rules govern the same operators through different supervisors; unreconciled divergence invites arbitrage.
8. Reserve-asset security and holder monetization keyed to measured concentration	Questions 3, 4, and 5; proposed Sections 15.11 and 15.13	Treat reserve-asset identifiability, eligible-institution safeguards, and holder-monetization backstops as observable controls scaled to measured reserve-custody and holder concentration.	Reserve and redemption protections work only if calibrated to where reserves and tokens are actually concentrated.

The highest-priority implementation language could be framed as follows:

- **Preamble clarification for proposed Section 19.262:** “In determining whether a permitted payment stablecoin issuer has established an effective AML/CFT program for purposes of this subpart, the OCC will evaluate observable evidence that the program’s identity-verification, transaction-monitoring, sanctions-screening, and lawful-order-execution controls are operationally exercisable for the control functions

the issuer performs.”

- **Examination-guidance language for proposed Section 19.262:** “A program should not be treated as effective solely because policies, procedures, or attestations exist; examiners should confirm that the issuer can demonstrate the relevant control functions under test conditions appropriate to its business model and risk profile.”
- **Possible Section 19.261(b) implementation language:** “The written notice to the FinCEN Director should include, where available, the issuer’s current control-posture record, including the examination workpapers and operational metrics used to assess whether the relevant controls function in practice.”
- **Examination-guidance language for proposed Section 15.13(c):** “An examination of sanctions compliance should include operational testing of the issuer’s capability to block, freeze, or reject transactions in accordance with lawful orders and applicable sanctions law, including testing across both issuer-controlled and secondary-market holding channels.”
- **Preamble clarification for proposed part 15 (Questions 1 and 2):** “A permitted payment stablecoin issuer is examined against a uniform, observable control-posture standard regardless of its entity type or of the preexisting OCC regulations that would otherwise apply, so that the applicable standard is determined by the functions the issuer performs rather than by the regulatory category it occupies.”

The recommendations also align with the parallel federal rulemakings and answer the principal objections likely to arise:

Issue	This proposal	Sibling proposal(s)	Recommended alignment
Effective-program disposition	RIN 1557-AF55 creates the OCC enforcement-and-supervision policy in proposed Section 19.262.	RIN 3064-AG29 creates the parallel FDIC disposition in proposed Section 350.201; FINCEN-2026-0100 and 31 CFR chapter X supply the substantive standard.	Preserve FinCEN’s substantive standard, but state the observable evidence OCC examiners use to determine that the standard is met in practice, in the same terms the FDIC uses.
OCC and FinCEN consultation	RIN 1557-AF55 requires advance notice and consideration of FinCEN input under proposed Section 19.261.	RIN 3064-AG29 requires the same under proposed Section 350.202; FINCEN-2026-0034 and FINCEN-2026-0100 depend on comparable program information across regulated entities.	Use a single control-posture record so FinCEN, the OCC, and the FDIC reason over the same measured object instead of reconstructing separate records.

Issue	This proposal	Sibling proposal(s)	Recommended alignment
Consultation threshold	RIN 1557-AF55 Question 9 offers a threshold of “\$10 billion or more in assets.”	RIN 3064-AG29 Question 3 offers a threshold of “\$10 billion or more in outstanding issuance value.”	Reconcile the two measures; a PPSI can sit above one threshold and below the other, so divergent thresholds invite forum and structure arbitrage.
Block, freeze, and reject capability	RIN 1557-AF55 incorporates sanctions compliance through proposed Section 15.13(c).	FINCEN-2026-0100 and OFAC set the sanctions-program obligation for PPSIs.	Treat the OCC examination as the channel for testing whether that capability works across primary and secondary holding channels.
Entity-type uniformity	RIN 1557-AF55 Questions 1 and 2 ask how to treat PPSIs uniformly across entity types and preexisting OCC regulations.	The March 2 rule (91 Fed. Reg. 10202) and 12 CFR part 21 set overlapping OCC obligations; RIN 3064-AG20 raised enterprise-wide integration in the application channel.	Anchor uniformity in a measured control-posture standard applied by function, so the standard does not fragment across national trust banks, bank affiliates, and non-bank issuers.
Dual-character instruments	RIN 1557-AF55 examines OCC-supervised PPSIs, but a single token can change obligor and legal regime based on holding location.	RIN 3064-AG29 addresses the same pattern at the FDIC; FINCEN-2026-0100 addresses AML/CFT and sanctions program content.	Use OCC consultation and examination to confirm that the leg outside direct OCC examination is not an AML or sanctions blind spot.

The main anticipated objections are manageable. If the OCC is concerned about burden, the shared record reduces duplicative reconstruction rather than adding a second exam, which is directly responsive to the Question 10 streamlining concern and consistent with the OCC’s own estimate that the consultation provision would impose costs on the agency rather than on issuers. If the OCC is concerned about privilege under Question 7, the operational control-posture record captures observed control facts, not privileged legal analysis, and it therefore reduces rather than enlarges the volume of privilege-sensitive material that must move between agencies. If the OCC is concerned that the named dual-character example in Recommendation 6 sounds like an enforcement allegation, the

example is offered only as a supervisable failure mode and not as a claim that either named institution is an OCC-supervised permitted payment stablecoin issuer under this rule.

I. Group I: The enforcement policy and the consultation framework need a common measured object (Recommendations 1 through 3)

Recommendation 1 (Question 8; proposed Section 19.262): Tie the effective-program disposition to observable, reproducible qualification criteria

Proposed Section 19.262(a) provides that, “except with respect to a significant or systemic failure to implement an effective AML/CFT program in accordance with applicable regulations at 31 CFR chapter X, a permitted payment stablecoin issuer that has established an effective AML/CFT program in accordance with applicable regulations at 31 CFR Chapter X will not be subject to an AML/CFT enforcement action or to a significant AML/CFT supervisory action.” The preamble states the same policy, adding that the disposition applies to actions “based on the program requirements issued by FinCEN or proposed Sec. 15.13(c).” Question 8 asks whether the OCC should “further refine or clarify any of the concepts or definitions outlined in this proposed supervision and enforcement framework.” The most consequential concept the proposed rule leaves unrefined is the meaning of an “effective AML/CFT program,” and Tokenization Systems recommends that the OCC clarify how an examiner reaches that determination, anchoring it in observable, reproducible features of the program rather than in attestation alone.

The drafting structure makes this clarification load-bearing. The rule does not itself define an effective program; the preamble ties the determination to the program requirements issued by FinCEN under 31 CFR chapter X and to proposed Section 15.13(c). That deferral is appropriate as to substantive program content, because the content is set in the companion rule. It is incomplete as to examination practice, because nothing in proposed Section 19.262 states what an examiner observes in order to conclude that a program is effective rather than nominal. The disposition is consequential: a PPSI that clears it is, by the rule’s own terms, not subject to an AML/CFT enforcement action or a significant AML/CFT supervisory action. A disposition with that consequence should rest on a reproducible determination.

Tokenization Systems’ prior comments have argued, in the FinCEN, OCC, and FDIC channels, that a program’s existence on paper does not establish that the program functions. In its FINCEN-2026-0100 comment (Recommendation 2), Tokenization Systems argued that the block, freeze, and reject capability required of a PPSI cannot be presumed from the existence of smart-contract functions and must be operationally verified; in its FINCEN-2026-0034 comment (Recommendation 5), it generalized that point to independent testing that is fit for purpose, tracing on-chain behavior against internal records rather than reviewing documentation alone; and in its comment to the FDIC on the parallel Bank Secrecy Act and sanctions compliance rule (RIN 3064-AG29,

Recommendation 1), it applied the principle to that agency’s identical effective-program disposition. The increment this comment adds is to carry that established principle into the disposition that proposed Section 19.262 creates: the effective-program determination should be the output of a reproducible examination, expressed in observable features (whether the program’s identity-verification, monitoring, and lawful-order-execution functions are demonstrably exercisable for each control function the PPSI performs), and not a conclusion drawn from an attestation that the program exists.

Tokenization Systems does not recommend that the OCC author its own definition of an effective program that diverges from the FinCEN standard; that would defeat the coordination the rule seeks and would risk inconsistency between the two instruments. It recommends that the OCC, in the preamble to the final rule or in examination guidance accompanying proposed Section 19.262, identify the observable indicators an examiner uses to reach the determination, drawn from the FinCEN program requirements, so that the determination is reproducible across examinations and comparable across PPSIs. Tokenization Systems’ research supports treating the gap between a documented program and an operative one as the recurring failure point rather than an edge case. In Tokenization Systems’ comparison of payment-stablecoin operators across regulatory-intensity scores, a higher score on the continuous-monitoring index did not by itself prevent a peg failure: in March 2023, the operator scoring highest on the index nonetheless experienced a depeg of approximately 10.4 percent on decentralized exchanges and approximately 13 percent on centralized exchanges, while a lower-scoring operator held its peg over the same window. That contrast, offered as illustration of the principle and not as evidence about any PPSI, shows that effectiveness is a property of observed behavior under stress, not of documented design; a determination framework that does not measure observed behavior will systematically overstate effectiveness.

Recommendation 2 (Question 10; proposed Section 19.261): Give the advance-notice consultation a single, shared, reproducible control-posture record

Proposed Section 19.261(b) requires the OCC, before initiating an AML/CFT enforcement action or a significant AML/CFT supervisory action, to send the FinCEN Director written notice of its intent “at least 30 days before taking the action,” unless a shorter period is necessary, in the sole discretion of the Comptroller, for an unsafe or unsound practice or condition. The notice must be accompanied by “the relevant AML/CFT information underlying the proposed action, including the relevant portions of the draft report or enforcement action, the relevant examination workpapers supporting the proposed action, and the relevant AML/CFT information submitted by the permitted payment stablecoin issuer to the OCC.” Proposed Section 19.261(a) provides that the OCC will consider FinCEN’s input, “which may include any view as to the effectiveness of the permitted payment stablecoin issuer’s AML/CFT program.” Question 10 asks: “How can the consultation process be streamlined and prevent logistical burdens for financial institutions or delays in exam report issuance?”

Tokenization Systems recommends that the OCC streamline the consultation by

maintaining, for each PPSI, a single reproducible record of measured control-layer posture that both the OCC and FinCEN read, and by making that record a standing component of the information transmitted with the Section 19.261(b) notice. The mechanism the rule proposes already contemplates transmitting examination workpapers and the underlying AML/CFT information; the recommendation is that a defined, reproducible control-posture record be a standing element of that package rather than an ad hoc assembly of materials at the moment an action is contemplated.

The principal source of the logistical burden and exam-report delay the OCC identifies in Question 10 is the cost of FinCEN reconstructing, within the notice window, an independent understanding of a control posture the OCC has already examined. If FinCEN’s view as to the effectiveness of the PPSI’s program, contemplated in proposed Section 19.261(a), is formed against the same measured record the OCC used to reach its determination under proposed Section 19.262, the two agencies reason over a common object. Divergence then reflects a genuine difference in judgment about a shared posture, which is the kind of difference the consultation is designed to surface, rather than an artifact of two agencies measuring different things. This is the operational form of the coordination the rule seeks. Tokenization Systems’ prior FinCEN-channel comments recommended that the agencies coordinate (FINCEN-2026-0100, Recommendation 9; FINCEN-2026-0034, Recommendation 7); this recommendation gives that coordination a concrete object, a common, observable record, which is the form that prevents duplicative examination. The OCC’s own impact analysis reinforces the point: the OCC estimates that the consultation provision would impose costs on the agency (a designated AML/CFT liaison, as many as two lawyers, and examination staff) rather than on issuers, so a mechanism that lets FinCEN review an existing record rather than assemble a new one directly reduces the cost the OCC itself anticipates.

A practical corollary follows from Tokenization Systems’ applied work on operator-level supervision, which describes a single supervisory record organized per operator, covering one operator that conducts multiple regulated activities under multiple regulators. The same logic applies to the OCC and FinCEN around a single PPSI: one operator, one measured control-posture record, read by both agencies, rather than two parallel reconstructions. A single record per operator both minimizes the duplicative examination the Question 10 burden language anticipates and shortens the effective cost of the notice window: the consultation then turns on a record that already exists when the OCC contemplates an action, not on one assembled to meet the thirty-day deadline.

**Recommendation 3 (Questions 8 and 9; proposed Sections 19.260 and 19.261):
Pair any consultation threshold with a control-posture trigger, account for
revocation of approval to issue, and support a PPSI-requested option keyed to
the same record**

Question 8 asks whether the OCC should refine the concepts and definitions of the supervision-and-enforcement framework, and asks specifically whether “revocation of approval to issue a payment stablecoin, if based in whole or in part on AML/CFT deficiencies, be accounted for in, including in the definition of AML/CFT enforcement

action.” Question 9 asks whether the consultation process should “include an asset threshold,” and offers as an example “consultation is required for any significant AML/CFT supervisory actions involving permitted payment stablecoin issuers with \$10 billion or more in assets,” and asks in the alternative whether the rule should “provide the option for permitted payment stablecoin issuers to request that the OCC consult with FinCEN prior to initiating a significant AML/CFT supervisory action.”

On Question 8, Tokenization Systems recommends that the framework expressly account for a revocation of approval to issue a payment stablecoin that rests in whole or in part on AML/CFT deficiencies. A revocation of the authority to issue is the most consequential action the framework reaches, and an action grounded even in part in AML/CFT deficiencies engages precisely the FinCEN view as to program effectiveness that proposed Section 19.261(a) contemplates. Tokenization Systems recommends that the definition of “AML/CFT enforcement action” in proposed Section 19.260, or the scope of the consultation in proposed Section 19.261, be drawn so that a revocation of approval premised in part on AML/CFT deficiencies triggers the same advance-notice consultation as a stand-alone AML/CFT enforcement action, so that the FinCEN view informs the most severe determinations rather than only the intermediate ones.

On the Question 9 threshold, Tokenization Systems offers a calibrated response. An asset threshold is administrable and observable, and Tokenization Systems does not recommend replacing it. It is, however, an incomplete proxy for the control-layer risk the consultation exists to manage, because two PPSIs at the same asset level can present materially different control postures. The recommendation is therefore that, if the OCC adopts an asset threshold, it pair the threshold with a control-posture trigger: consultation is required for PPSIs at or above the asset figure and also for any PPSI whose measured control-posture record (Recommendation 2) falls below a defined supervisory floor, regardless of asset level. This pairing keeps the threshold administrable while directing the consultation requirement to the cases where the FinCEN view is most likely to matter. The thresholds themselves are properly the OCC’s to set; the recommendation is only that the trigger be keyed to a measured object and not to asset level in isolation. The choice of the threshold measure is also a cross-agency alignment question, and Tokenization Systems addresses the divergence between the OCC’s asset measure and the FDIC’s outstanding-issuance-value measure in Recommendation 7.

On the alternative the question raises, Tokenization Systems supports providing PPSIs the option to request that the OCC consult with FinCEN before initiating a significant AML/CFT supervisory action. The same shared, reproducible record recommended in Recommendation 2 is what makes a PPSI-initiated consultation tractable: a PPSI that maintains the control-layer measurements Tokenization Systems describes can support its request with the same observable evidence the OCC and FinCEN would use, which keeps the optional path from becoming a separate, differently grounded process. Tokenization Systems recommends that any PPSI-initiated consultation option in proposed Section 19.261 be keyed to that common record, so that the optional path and the OCC-initiated path rest on the same observable basis.

II. Group II: The examined program must rest on verified capability and locate where control actually sits (Recommendations 4 through 6)

Recommendation 4 (proposed Section 15.13(c)): Confirm the block, freeze, and reject capability by operational test, scaled to measured holder concentration

Proposed Section 15.13(c) requires each PPSI to comply with, among other things, the sanctions program and the applicable regulations at 31 CFR chapter V. The GENIUS Act obligation that provision incorporates includes the capability to block, freeze, or reject transactions in accordance with lawful orders and applicable sanctions law. Tokenization Systems recommends that, when the OCC examines a PPSI's compliance with the sanctions-program obligation incorporated by proposed Section 15.13(c), the block, freeze, and reject capability be operationally verified rather than inferred from the existence of a parent institution's program or from the presence of on-chain functions, and that the verification be scoped by a measurement of where the PPSI's tokens are actually held.

The substantive position is already on the record: in its FINCEN-2026-0100 comment (Recommendation 2), Tokenization Systems argued that this capability must be independently tested for both the primary and the secondary market and cannot be presumed from the existence of smart-contract functions, and the OFAC internal-controls portion of that comment recommended preventive screening at the smart-contract layer paired with detective post-transaction monitoring, tested against scenarios and not against lists alone. This comment does not re-litigate that position. The increment is jurisdictional: the OCC's examination under this rule is the channel through which that already-recommended verification is actually exercised against an OCC-supervised PPSI, and the examination that supports a determination under proposed Section 19.262 (Recommendation 1) should confirm that the block, freeze, and reject capability has been demonstrated rather than represented.

The population the OCC describes makes verification more important, not less. The OCC estimates that many OCC-supervised PPSIs will be affiliates or subsidiaries that draw on an affiliated institution's compliance architecture. A PPSI that inherits an affiliate's monitoring architecture inherits a capability that was designed for the affiliate's products and customer base, not necessarily for the PPSI's on-chain issuance and the secondary-market circulation of its stablecoin. The block, freeze, and reject capability operates on a different object (a circulating token, often held across many wallet addresses the issuer never onboarded) than the deposit and payment rails the affiliate's program was built to police. Verification of the capability against the PPSI's actual product is what establishes that the inherited program covers the inherited risk; an examination that accepts the inheritance as sufficient does not test the seam between the two.

This recommendation should account for secondary-market structure, because the consequence of a defective freeze capability scales with holder concentration: the more concentrated the issuer's tokens are in holdings the issuer does not directly control, the more a single defect reaches. Holder concentration is a measurable, reproducible quantity:

Tokenization Systems’ measurement of two large dollar stablecoins on a single public ledger found, in a snapshot dated May 20, 2026, a top-100-holder Herfindahl-Hirschman Index of approximately 1,130 for one Solana-resident stablecoin against approximately 235 for another on the same chain, a difference of roughly five times. Those tokens are not PPSI-issued; the figure shows only that secondary-market concentration is measurable and varies materially across comparable tokens. The supervisory implication is that the operational verification recommended here should be scaled to the concentration profile of the specific token, because concentration determines how much of circulating supply a single lawful-order action reaches.

Recommendation 5 (Questions 1 and 2; proposed Section 15.13(c)): Confirm an identifiable accountable line and a uniform measured standard across entity types

Questions 1 and 2 ask how proposed part 15 should treat permitted payment stablecoin issuers that are already subject to OCC regulations imposing Bank Secrecy Act, sanctions, and suspicious-activity-reporting requirements, including uninsured national trust banks subject to 12 CFR part 21, and how the OCC should “enable permitted payment stablecoin issuers to be subject to a uniform and consistent set of requirements, regardless of entity type.” Underlying both questions is a concept the proposed rule does not address directly. Where a PPSI’s compliance functions are performed by, shared with, or inherited from an affiliate, and where the same issuer may sit at the intersection of proposed part 15 and preexisting OCC regulations, two accountability questions arise: who holds both the information the program monitors and the authority to act on what it detects, and by what standard that holding is judged across different entity types.

Tokenization Systems recommends two connected clarifications. First, the OCC should clarify, in connection with the incorporated requirement of proposed Section 15.13(c), that an effective program at a PPSI that leverages an affiliate’s program requires an identifiable line of accountability under which a party, identifiable to the examiner, holds both the PPSI-specific control-posture information and the authority to direct remedial action on it. Leveraging an affiliate’s program is not improper; it is the expected and efficient arrangement for many of the affiliated issuers the OCC estimates. The concern is that when a compliance function is delegated or shared, accountability can become diffuse: the party with the on-chain visibility to detect a sanctioned-address interaction may not be the party with the contractual or technical authority to freeze it, and the party with the authority may lack a complete view of the PPSI-specific posture. A documentary description of which entity performs which function does not, by itself, establish that an accountable party holds both information and authority; that establishment requires examining the operative arrangement.

Second, and responsive to the uniform-treatment concern in Question 2, Tokenization Systems recommends that the uniform standard the OCC seeks be anchored in a measured control-posture standard applied by function rather than in a checklist that varies with the regulatory category the issuer occupies. If an uninsured national trust bank, a bank affiliate, and a non-bank issuer each perform the same control functions over issuance,

custody, routing, and lawful-order execution, they should be examined against the same observable standard for those functions, whether the OCC accomplishes that by providing that compliance with proposed part 15 constitutes compliance with the overlapping requirement, by scoping the preexisting regulations to exclude PPSIs, or by another drafting route. The measured-posture standard is what keeps “uniform and consistent . . . regardless of entity type” from collapsing into the lowest common denominator of whichever preexisting regime is least demanding for a given entity type. Tokenization Systems takes no position on the precise drafting mechanism the OCC should use to resolve the overlap between proposed part 15 and part 21; it recommends only that whichever mechanism the OCC adopts preserve a single, observable, function-based standard rather than a set of category-specific ones.

Tokenization Systems’ empirical work on delegated governance illustrates the method by which accountability diffusion can be measured, and Tokenization Systems flags clearly that this work studies decentralized governance systems, not PPSIs, and transfers as method and as a cautionary pattern only. In a 52-protocol cross-section study of tokenized governance systems, currently under review at *Frontiers in Blockchain* (resubmitted June 3, 2026), Tokenization Systems found that delegation amplifies effective voting power above token holdings in thirteen of eighteen protocols with sufficient governance data, with amplification ratios ranging from 2.5 times to 25.6 times the holding baseline. The study’s subjects are decentralized-finance and decentralized-physical-infrastructure protocols, not payment stablecoin issuers, so those figures do not describe PPSI structures and are offered only to show that the method reliably surfaces a gap between nominal and effective control when control is delegated. The transferable point is diagnostic: where control is delegated, the nominal locus of accountability and the effective locus of control can diverge, and an examination that reads only the nominal structure will misjudge the program. This recommendation extends to the OCC examination channel a position Tokenization Systems advanced to FinCEN, that a United States-based AML/CFT compliance officer should hold effective supervisory control over United States-nexus operations rather than a nominal title (FINCEN-2026-0034, Recommendation 4), and it coordinates with Tokenization Systems’ recommendation to the FDIC that the supervisor confirm an identifiable accountable line where a PPSI leverages an affiliate’s program (RIN 3064-AG29, Recommendation 5).

Recommendation 6 (proposed Sections 15.13(c), 19.261, and 19.262): Confirm that AML and sanctions coverage follows the instrument across a holding-location obligor change

A structural pattern now emerging in the bank-led tokenization market raises a coverage question the rule’s existing machinery can address, and Tokenization Systems flags that it offers the pattern as an illustration of a supervisable failure mode and not as an allegation of wrongdoing; neither institution named below is presented as an OCC-supervised permitted payment stablecoin issuer under this rule. The Hazel Network, described in a June 2026 white paper jointly published by Vantage Bank Texas and Custodia Bank, Inc., is a publicly announced arrangement in which a single unified token carries a different

obligor depending on where it is held (Vantage Bank and Custodia Bank, 2026). While held within the bank consortium, it is a deposit liability of Vantage Bank Texas, an insured member bank; when transferred outside that consortium, the same token becomes a payment stablecoin issued by Custodia Bank, a Wyoming special-purpose depository institution, with no redemption or settlement event marking the transition, and as the white paper states, the token does not change, only its legal classification changes. That divergence is a structural feature of the design rather than an incidental one, because Custodia Bank, which does not hold a Federal Reserve master account, cannot itself stand as the insured-deposit obligor; the arrangement therefore assigns the deposit leg to the institution that holds such access and assigns the post-boundary leg to the special-purpose institution (Custodia Bank, Inc. v. Federal Reserve Board of Governors, 2025). The information a control-posture record would capture and the authority to act on it can then sit with different entities under different supervisory regimes on either side of a transition the token makes programmatically rather than through a settlement event an examiner can observe.

The pattern matters to the OCC specifically because the entity types the OCC supervises, including uninsured national trust banks and bank affiliates, are candidate obligors on one or both legs of such an arrangement, and because a design of this kind can route one leg outside the OCC's direct examination perimeter. Tokenization Systems offers three coverage confirmations that the rule's existing provisions can perform, each carrying a position already on the record forward to the case in which a single instrument changes its obligor and its applicable regime across a holding-location boundary.

First, the boundary transition itself should be a monitored and screenable event. Because the legal-character change can occur through an ordinary on-chain transfer with no issuance, redemption, or settlement event marking it, an examination that screens only transactions within each state can miss the moment the instrument crosses into the state with the weaker obligor. Tokenization Systems recommends that the block, freeze, and reject capability confirmed under Recommendation 4 be demonstrated exercisable at and after that transition, and not only within the state in which an OCC-supervised institution is the obligor.

Second, identity and monitoring obligations should be confirmed not to lapse across the transition. When an instrument moves from a holder identified through the issuer's customer-identification program to a holder outside that perimeter, a control-posture record (Recommendation 2) scoped to the identified-holder state does not, by itself, establish coverage of the holder population on the other side. The examination should confirm that customer-identification and transaction-monitoring obligations are met for the instrument's full holder population, and not only for the population captured in the state the OCC examines.

Third, where the post-transition obligor answers to a supervisor other than the OCC, the advance-notice consultation under proposed Section 19.261 should confirm that the state the OCC does not examine is not, for that reason, an AML and sanctions blind spot. The shared, reproducible control-posture record recommended in Recommendation 2 is the natural instrument: it lets the OCC and FinCEN confirm that the block, freeze, and reject

capability and the screening obligation are owned and exercisable on the leg the OCC does not directly supervise, so that the design does not, by construction, route the state in which the instrument is least clearly accountable to the entity least integrated into the examination this rule creates. The examination that supports a determination under proposed Section 19.262 should include that full-lifecycle confirmation.

III. Group III: The surfaces distinctive to the OCC's proposal (Recommendations 7 and 8)

Recommendation 7 (Question 6; proposed Sections 15.13(c), 19.261, 19.262, and 4.19): Align the OCC and FDIC rules on a common measured object and reconcile the divergent thresholds

Question 6 invites comment on “whether any elements of the FDIC’s proposed rule should be included in proposed part 15 or other proposed requirements for OCC-regulated permitted payment stablecoin issuers,” and on “whether any of the requirements in the OCC’s March 2 proposed rule should be amended to align more closely with the FDIC’s proposed rule (or vice versa).” Question 6 poses the comparison against the FDIC rule that parallels the OCC’s March 2 issuance rule, but the FDIC instrument that most directly parallels the supervision, consultation, and disclosure provisions this rule adds is the FDIC’s separate Bank Secrecy Act and sanctions compliance rule (RIN 3064-AG29). Tokenization Systems is positioned to answer, because it filed comments across the FDIC rule set, including on RIN 3064-AG29, and the AG29 rule and this one are close structural siblings: each layers a supervision, consultation, and disclosure framework over the same substantive FinCEN and OFAC program standard, for the same population of permitted payment stablecoin issuers, differing principally in which prudential supervisor administers the layer.

The alignment Tokenization Systems recommends is not that the two rules be made textually identical, but that they resolve the shared design choices in the same way, so that a permitted payment stablecoin issuer, and the operator behind it, faces one measured standard rather than two supervisor-specific ones. Three alignment points follow, and one divergence requires an affirmative reconciliation.

First, the effective-program disposition. The OCC’s proposed Section 19.262 and the FDIC’s proposed Section 350.201 create the same disposition: a PPSI that has established an effective AML/CFT program is not subject to enforcement or significant supervisory action on the program requirements, subject to the significant-or-systemic-failure carve-out. Recommendation 1 above asks the OCC to state the observable evidence an examiner uses to reach that determination; Tokenization Systems made the identical request of the FDIC. The alignment recommendation is that the two agencies articulate the observable-evidence standard in the same terms, so that the same operator’s program is not judged effective by one supervisor and nominal by the other on the same facts.

Second, the consultation record. The OCC’s proposed Section 19.261 and the FDIC’s

proposed Section 350.202 both require advance notice to the FinCEN Director accompanied by the underlying AML/CFT information. Recommendation 2 asks the OCC to make a single reproducible control-posture record a standing component of that package. Because the FinCEN Director is the common counterparty to both consultations, a control-posture record standardized across the OCC and FDIC channels lets FinCEN read the same measured object regardless of which prudential supervisor initiated the action, which is the streamlining both Question 10 here and the parallel FDIC question seek.

Third, the disclosure-and-privilege options. The OCC's proposed Section 4.19 and the FDIC's proposed Section 350.203 each offer two options for permitting a PPSI to share non-public supervisory information with the FinCEN Director, structured around the preservation of privilege under 12 U.S.C. 1821(t), with the OCC's Option 2 adding a contemporaneous-disclosure-to-the-OCC requirement. Tokenization Systems takes no position on the privilege choice itself (see the note on Question 7 below), but it recommends that the OCC and FDIC resolve the option the same way, because a PPSI supervised by one agency and affiliated with an institution supervised by the other should not face two different information-sharing regimes for the same FinCEN counterparty.

The divergence that requires reconciliation is the consultation threshold. The OCC's Question 9 offers a threshold of "\$10 billion or more in assets." The FDIC's parallel question offers a threshold of "\$10 billion or more in outstanding issuance value." These are different measures. Outstanding issuance value is the value of the payment stablecoins in circulation, a liability-side quantity that under the reserve requirement tracks the reserve assets backing them; total assets is a balance-sheet quantity that can include corporate and non-reserve assets, or that can understate circulating supply where an issuer's structure places reserves or issuance off its own balance sheet. A single operator can therefore sit above one threshold and below the other, and a consortium or white-label structure of the kind the OCC anticipates can be arranged so that issuance concentrates under the supervisor with the higher effective trigger. Divergent thresholds for the same coordination mechanism invite exactly the forum and structure arbitrage that a cross-agency-consistent rule is meant to foreclose. Tokenization Systems recommends that the OCC and FDIC adopt a common threshold measure, and that whichever measure is chosen (Tokenization Systems suggests outstanding issuance value, as the quantity most directly tied to the systemic consequence the threshold proxies), it be paired with the control-posture trigger of Recommendation 3 so that a low-issuance, weak-control issuer is not excluded from consultation by the threshold alone.

**Recommendation 8 (Questions 3, 4, and 5; proposed Sections 15.11 and 15.13):
Treat reserve-asset security and holder monetization as observable controls
scaled to measured concentration**

Questions 3, 4, and 5 ask whether proposed part 15 should add protections for reserve assets and for holders. Question 3 asks whether reserve assets should be required to remain traceable and "identified" at all times, including whether proposed Section 15.13 should require "appropriate controls and systems necessary to ensure that reserve assets can be traced and identified at all times." Question 4 asks whether the OCC should impose

additional requirements on the “eligible financial institutions” that hold reserve assets, including safeguards against fraud and possible limits on reserve-management fees. Question 5 asks whether proposed part 15 should add protections to ensure that holders who are not direct customers of the issuer can still monetize their payment stablecoins, including a possible OCC option to require direct redemptions under certain conditions. These questions concern the substantive part 15 requirements rather than the supervision layer, but they share the same structural feature as the rest of this comment: each protection works only if it is an observable control calibrated to where reserves and tokens are actually concentrated.

On Question 3 (identifiability), Tokenization Systems recommends that the traceability requirement be framed as an observable, testable control rather than as a representation. The OCC’s own framing, that reserve assets and their proceeds “can be traced and identified at all times,” is the language of an operational capability that an examiner can test, in the same way that Recommendation 4 asks the OCC to test the block, freeze, and reject capability rather than accept its documentation. Tokenization Systems supports requiring, in proposed Section 15.13, the controls and systems that make reserve assets traceable at all times, and recommends that the effective-program and risk-management examination confirm the traceability by test (for example, by reconciling the on-chain and custodial record of reserves against outstanding issuance value at examination), not by attestation. The same observability principle answers the income-and-proceeds sub-question: whichever rule the OCC adopts for whether interest and proceeds remain “identified” reserve assets, the requirement is enforceable only if the tracing system can in fact distinguish principal, proceeds, and claimed surplus at all times.

On Question 4 (eligible-institution safeguards), Tokenization Systems recommends that any safeguard requirement account for reserve-custody concentration, because the security of reserves held at eligible financial institutions depends not only on each institution’s safeguards but on how concentrated the reserves are across institutions. Concentration is the documented failure channel. In March 2023, when Silicon Valley Bank failed, one large dollar stablecoin issuer held approximately \$3.3 billion of its reserves at that single bank, over seven percent of the issuer’s reserves, and the stablecoin depegged as the market priced the risk that the concentrated reserves were impaired; the episode is offered as a documented illustration of reserve-custody-concentration risk and not as a representation about any permitted payment stablecoin issuer under this rule. The supervisory implication is that a requirement to verify eligible-institution safeguards is strengthened by a companion expectation that the PPSI measure and manage the concentration of its reserves across those institutions, so that the failure of any single eligible institution does not impair a disproportionate share of the reserve. This position carries forward the recommendation Tokenization Systems made in the FinCEN channel that PPSI risk assessments address reserve-custody concentration (FINCEN-2026-0100, Recommendation 6, as supplemented). On the fee sub-question, Tokenization Systems takes no position on the specific fee caps the OCC floats, and notes only that whichever disclosure or limit the OCC adopts is, again, most effective when the fee arrangement is observable to the examiner rather than represented.

On Question 5 (holder monetization), Tokenization Systems recommends that any monetization backstop be calibrated to measured secondary-market concentration, because whether holders who are not direct customers can in fact monetize depends on how concentrated and how liquid the secondary market for the specific token is. The holder-concentration measurement described in Recommendation 4 is directly relevant here: a token whose secondary-market holdings are highly concentrated, or whose liquidity depends on a small set of venues, is more likely to leave non-customer holders unable to monetize under stress than a broadly held, deeply traded token, even though both are “generally” monetizable in calm conditions. Tokenization Systems supports the OCC’s contemplated option to require direct redemptions under certain conditions, and recommends that the condition triggering it be keyed to observable indicators of monetization failure (for example, a persistent and material secondary-market discount, or a measured collapse in redeemable liquidity), rather than to the issuer’s representation that monetization channels remain adequate. The redemption-access architecture is itself a control that can be measured: Tokenization Systems’ work on a March 2023 stablecoin run documented that effective redemption access concentrated in a small number of participants under stress, which is the kind of observable failure a conditioned direct-redemption backstop is meant to reach. That work studies a pre-GENIUS episode and is offered as method and illustration, not as evidence about any PPSI.

IV. A note on proposed Section 4.19 and Question 7

Question 7 invites comment on the two options for permitting greater information sharing with the FinCEN Director under proposed Section 4.19, and asks in particular whether the disclosure of confidential supervisory information to FinCEN would “compromise attorney-client privilege, other applicable privileges, or otherwise undermine the preservation of privilege in 12 U.S.C. 1821(t).” That question turns principally on privilege law and supervisory-information protection, on which Tokenization Systems does not hold subject-matter expertise; it offers no recommendation on the choice between Option 1 and Option 2 and defers the privilege question to commenters better placed to address it.

Tokenization Systems notes only the connection to its measurement recommendations, without taking a position on the privilege choice. The shared, reproducible control-posture record recommended in Recommendation 2 consists of observed operational facts about whether a capability functions, which are distinct in kind from the privileged legal analysis of a proposed action. A sharing framework built on that observed operational dataset reduces the volume of privilege-sensitive material that must change hands in order to establish a common view of the PPSI’s control posture. Tokenization Systems raises this only as an interaction for the OCC to confirm under whichever option it adopts, and it notes, as stated in Recommendation 7, that whichever option the OCC adopts should be resolved consistently with the parallel FDIC provision so that the same operator does not face two different information-sharing regimes for the same FinCEN counterparty.

Conclusion

This rule is the OCC’s supervision-and-coordination layer over an AML/CFT and sanctions program whose substance is set in the companion FinCEN and OFAC rule at 91 Fed. Reg. 18582 and in 31 CFR chapters V and X. Its distinctive features, the enforcement-and-supervision policy in proposed Section 19.262, the OCC-and-FinCEN advance-notice consultation in proposed Section 19.261, and the information-sharing provision in proposed Section 4.19, share one structural requirement: they work as intended only when the agencies reason over the same measured object. The recommendations above turn that requirement into practice. They ask the OCC for an effectiveness disposition anchored in observable, reproducible features (Recommendation 1); a single shared control-posture record inside the consultation (Recommendation 2); thresholds and options keyed to that record, with revocation of approval to issue expressly accounted for (Recommendation 3); a block, freeze, and reject capability confirmed by operational test scaled to measured holder concentration (Recommendation 4); an identifiable accountable line and a uniform, function-based standard across entity types (Recommendation 5); confirmation that AML and sanctions coverage follows a tokenized instrument across a holding-location obligor change (Recommendation 6); alignment with the parallel FDIC rule on a common measured object, with the divergent consultation thresholds reconciled (Recommendation 7); and reserve-asset security and holder-monetization protections calibrated to measured reserve-custody and holder concentration (Recommendation 8). Each recommendation is a supervision-channel or a part 15 application of a position Tokenization Systems has argued in the parallel FinCEN, FDIC, and OCC rulemakings; the increment here is to fit those positions to the examination, coordination, and issuance machinery this rule actually creates. These recommendations describe structural features that can be observed and measured, not accommodations; a disposition grounded in observed function imposes discipline rather than relaxing it.

Tokenization Systems appreciates the opportunity to comment and is available to provide any of the underlying analysis referenced above.

Respectfully submitted,

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Appendix: Selected Sources

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Financial Crimes Enforcement Network and Office of Foreign Assets Control, “Permitted Payment Stablecoin Issuer Anti-Money Laundering/Countering the Financing of Terrorism Program and Sanctions Compliance Program Requirements,” 91 Fed. Reg. 18582 (April 10, 2026).

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Vantage Bank and Custodia Bank, “Hazel Network: Unified Tokenized Bank Deposit and Stablecoin Token” (industry white paper, June 2026).

Custodia Bank, Inc. v. Federal Reserve Board of Governors, No. 24-8024 (10th Cir. Oct. 31, 2025).